

PRD: Mid-Cycle Term Toggle (Monthly ↔ Annual)

Problem & Goals

- **Problem:** Today, users can only change billing term (monthly ↔ annual) at the start of a new cycle or during checkout. This creates friction when customers want to align billing cycles with budget cycles or consolidate invoicing mid-cycle.
- **Goal:** Allow seamless mid-cycle switching between monthly and annual terms, ensuring correct proration, consistent user experience across pricing → checkout → summary, and accurate billing.

Non-Goals

- Changes to plan features or license counts.
- Migration of existing legacy term structures outside monthly/annual.

Users & Scenarios

- **SMB admins** wanting to move from monthly → annual mid-cycle for budget alignment.
- **Enterprise customers** testing with monthly plans but committing to annual once purchase approvals clear.

Current Flow (Snapshot from Test Cases)

- User lands on pricing page, default annual plans load (Steps: Open requested pricing page → Observe default billing frequency).
- User toggles to monthly (Steps: Switch between monthly and annual toggle multiple times).
- Checkout allows switching term only before confirming purchase (Steps: Choose to switch to annual → Confirm the switch).
- Post-purchase, subscription is locked until renewal.

Before State: Toggle only applies at checkout or next cycle. Proration is not available mid-cycle.

After State: Toggle applies mid-cycle, with real-time proration and subscription state update.

Proposed Change

Functional Spec

- Enable billing cycle change mid-cycle via the same toggle UI.
- Show proration preview on checkout/summary modal (based on “Verify payment and prorated amount on payment popup” evidence).
- Apply updated billing immediately, with invoice adjustment.

Constraints

- Proration logic must handle all V4/V4.1 plans consistently.
- Ensure telemetry coverage (`toggle_clicked`, `term_changed`, `proration_previewed`, `checkout_paid`, `subscription_activated`).
- Support multi-product bundles in future but scope initial rollout to single-plan toggle.

Acceptance Criteria

1. Pricing page correctly updates plans when toggling terms.
2. User with active monthly plan can switch to annual mid-cycle; popup shows prorated amount.
3. Checkout succeeds with new term, and subscription activates instantly.
4. Upgrade modal reflects correct annual state after switch.
5. Account summary reflects updated billing cycle with correct CTA copy.

Inflection Points

- **At toggle click:** system must determine if user is in mid-cycle state.
- **At payment preview:** proration calculation accuracy must be guaranteed.
- **At subscription API call:** billing term update must commit atomically.
- **At summary page:** confirmation must display updated cycle, preventing stale state.